

SUBSCRIPTION AGREEMENT REVIEW

Version 1.0 | January 15, 2025 | SAMPLE / DUMMY DATA

PARTIES

Client ClearEdge Enterprises LLC, a Delaware limited liability company

Vendor Apex Technology Solutions Inc., a California corporation

Effective Date February 1, 2025

Expiration Date January 31, 2026

Total Contract Value USD \$120,000 annually

1. AGREEMENT DETAILS

Vendor will provide a cloud-based procurement management platform, including vendor directory, sourcing workflows, contract management, reporting, API access, technical support, and standard maintenance. The subscription covers up to 250 named users and 50,000 vendor records.

2. PAYMENT TERMS

Client shall pay Vendor within 30 days of receipt of a valid invoice. Vendor shall invoice quarterly in advance. Invoices shall be issued electronically. Late payments may accrue interest at 1.5% per month on the outstanding balance, subject to applicable law. Client may withhold disputed amounts while the parties work in good faith to resolve the dispute.

Plain English: ClearEdge has 30 days to pay each valid invoice. The subscription is billed quarterly in advance. A disputed invoice does not automatically require payment of the disputed portion.

3. CONTRACT VALUE

The total subscription value is **USD \$120,000 per year**, or **USD \$120,000** for the initial 12-month term. Implementation services are included. Additional usage above the contracted user limit is charged at USD \$40 per additional user per month.

Plain English: The base contract costs \$120,000 per year, but additional users can increase the actual amount paid.

4. NOTICE PERIOD

Either party must provide at least **60 days' written notice** before the end of the then-current term to prevent automatic renewal.

Plain English: ClearEdge must notify Apex at least 60 days before January 31 if it does not want the contract to renew.

5. TERMINATION FOR CONVENIENCE

Client may terminate the Agreement for convenience upon **90 days' written notice**. Fees paid for the current billing quarter are non-refundable, but Client will not be responsible for future subscription fees after the effective termination date.

Plain English: ClearEdge can leave the contract without proving that Apex breached it, but must give 90 days' notice.

6. LIMITATION OF LIABILITY

Each party's aggregate liability is capped at the greater of **USD \$240,000 or two times the fees paid or payable during the preceding 12 months**. The cap does not apply to fraud, willful misconduct, confidentiality breaches, or infringement of the other party's intellectual property rights. Data-security and privacy claims remain subject to the general cap.

Plain English: Most claims are limited to roughly twice the annual contract value. Some serious claims are outside the cap, but data-security claims are not given a higher cap.

7. INSURANCE REQUIREMENTS

Vendor shall maintain commercial general liability insurance of at least **USD \$2,000,000 per occurrence**, professional/errors-and-omissions insurance of **USD \$2,000,000**, and cyber/privacy liability insurance of **USD \$3,000,000**. Certificates of insurance shall be provided upon reasonable request.

Plain English: Apex must carry insurance that provides protection for general, professional, and cyber-related risks.

8. SLA / UPTIME

Vendor guarantees monthly service availability of **99.9%**, excluding scheduled maintenance, force majeure events, and outages caused by Client systems. Service credits apply when monthly uptime falls below the committed level. If uptime falls below 99.0% for two consecutive months, Client may terminate without early termination fees.

Plain English: Apex promises 99.9% uptime. Repeated serious outages give ClearEdge a right to exit the agreement.

9. WARRANTY

Vendor warrants that the platform will materially conform to its published documentation and that professional services will be performed in a professional and workmanlike manner. Warranty claims must be raised within 30 days after discovery of the issue. Vendor's obligation is to correct the non-conformity or provide a reasonable workaround.

Plain English: Apex promises that the service should generally work as documented and that implementation work will be performed professionally.

10. PRICE INCREASE CAP

Vendor may increase subscription fees upon renewal by no more than **5% per renewal year**, provided that Vendor gives at least 90 days' advance written notice.

Plain English: The annual renewal increase cannot exceed 5%.

11. TERMINATION FOR CAUSE

Either party may terminate for a material breach that remains uncured for **30 days** after written notice. If the breach cannot reasonably be cured within 30 days, the breaching party must begin cure within 10 days and diligently complete it.

Plain English: A serious contract violation can lead to termination if the responsible party does not fix it within the agreed period.

12. AUTO RENEWAL

The Agreement automatically renews for successive **one-year terms** unless either party provides written notice of non-renewal at least **60 days** before the end of the then-current term.

Plain English: The contract renews for another year unless ClearEdge or Apex gives notice at least 60 days before expiry.

13. INDEMNIFICATION

Vendor shall defend and indemnify Client against third-party claims alleging that the subscription service infringes a United States patent, copyright, or trademark. Vendor shall also indemnify Client for third-party claims arising from Vendor's gross negligence or willful misconduct. Client shall indemnify Vendor for third-party claims arising from Client's unlawful use of the service or Client-provided content.

Plain English: Apex protects ClearEdge from certain third-party IP claims and claims caused by Apex's serious misconduct. ClearEdge has a narrower reciprocal obligation.

14. DATA OWNERSHIP

Client retains all right, title, and interest in Customer Data. Vendor may access and process Customer Data only as necessary to provide, secure, maintain, and support the services. Vendor may not sell Customer Data or use it for targeted advertising. Upon termination, Vendor shall provide a 30-day export period and delete production copies within 60 days, subject to legally required retention and backup-cycle limitations.

Plain English: ClearEdge owns its data. Apex can use it to operate the service but cannot sell it or use it for advertising.

15. CONFIDENTIALITY

Each party shall protect the other party's Confidential Information using at least reasonable care and shall use such information only for purposes of performing the Agreement. Confidentiality obligations survive termination for **five years**, while trade secrets remain protected for so long as they qualify as trade secrets.

Plain English: Both companies must protect confidential information and continue doing so after the contract ends.

16. EXCLUSIVITY

The Agreement contains **no exclusivity obligation**. Client may purchase competing procurement or contract-management services from other providers during the term.

Plain English: ClearEdge is free to use other vendors and is not locked into Apex as its only provider.

17. FREIGHT TERMS

Not Applicable. The subscription is a digital SaaS service and does not involve physical goods, freight, shipping, or transfer of physical title.

Plain English: There are no shipping or freight obligations under this subscription agreement.

18. INTELLECTUAL PROPERTY

Vendor retains ownership of its platform, software, documentation, APIs, methodologies, and pre-existing technology. Client retains ownership of Customer Data and Client materials. Client receives a non-exclusive, non-transferable right to use the service during the subscription term. Custom reports and configurations created specifically for Client are licensed to Client for its internal business use.

Plain English: Apex owns the software. ClearEdge owns its data and can use the purchased service and agreed custom configurations during the contract.

19. GOVERNING LAW

The Agreement shall be governed by the laws of the **State of Delaware**, without regard to conflict-of-law principles. The parties consent to the exclusive jurisdiction of state and federal courts located in Delaware.

Plain English: Delaware law applies and contract disputes will generally be handled in Delaware courts.

20. PLAIN-ENGLISH EXECUTIVE SUMMARY

Commercial commitment: ClearEdge is committing to \$120,000 annually, with potential additional charges for users above the contracted limit.

Renewal: The agreement automatically renews annually unless either party gives 60 days' notice.

Exit rights: ClearEdge has a 90-day termination-for-convenience right, which is favorable compared with agreements that allow termination only for cause.

Pricing: Renewal increases are capped at 5%, reducing budget uncertainty.

Service level: Apex commits to 99.9% uptime and provides a termination right after two consecutive months below 99.0%.

Data: ClearEdge owns its data, and Apex is restricted from selling it or using it for targeted advertising.

Liability: The general liability cap is approximately two times annual fees, but data-security claims remain under the general cap.

IP: Apex retains platform ownership while ClearEdge retains its data and materials.

21. IDENTIFIED RISKS

HIGH — Data Security Liability: Data-security and privacy claims remain subject to the general liability cap. For a SaaS provider handling sensitive business data, a higher cyber/data-security cap may be preferable.

MEDIUM — Additional User Charges: Users above 250 are billed at \$40 per user per month. Rapid user growth could increase the contract value.

MEDIUM — Auto-Renewal: The 60-day non-renewal deadline requires active contract management to avoid an unintended renewal.

LOW — Warranty Remedy: The primary warranty remedy is correction or workaround, with no express refund right for recurring non-conformity.

LOW — Data Deletion: Production deletion occurs within 60 days after termination, subject to backup-cycle limitations. The final contract should confirm backup deletion timelines.

22. STANDARD CLAUSE LIBRARY COMPARISON

Total Contract Value

Vendor: \$120,000 annually plus \$40/user/month above 250 users.

Standard: All fixed and variable charges should be transparent and pre-approved.

Assessment: **PARTIAL MATCH — Medium Risk.** Additional-user charges should have a clear approval mechanism.

Termination for Convenience

Vendor: Client may terminate with 90 days' notice.

Standard: Customer convenience termination should be available where commercially appropriate.

Assessment: **MATCH — Low Risk.**

Limitation of Liability

Vendor: Greater of \$240,000 or 2x prior-year fees; data-security claims remain under general cap.

Standard: Higher cap/carve-out for critical data/security risks.

Assessment: **PARTIAL MATCH — High Risk.**

Insurance Requirements

Vendor: \$2M CGL, \$2M E&O, \$3M cyber/privacy.

Standard: Appropriate coverage aligned to service risk.

Assessment: **MATCH — Low Risk.**

SLA / Uptime

Vendor: 99.9% monthly uptime with credits and chronic-failure termination.

Standard: Measurable SLA plus meaningful remedies.

Assessment: **MATCH — Low Risk.**

Warranty

Vendor: Material conformity and professional services warranty; correction/workaround remedy.

Standard: Service should conform to specifications with meaningful remedy.

Assessment: **PARTIAL MATCH — Medium Risk.**

Price Increase Cap

Vendor: 5% per renewal with 90 days' notice.

Standard: Negotiated annual cap with advance notice.

Assessment: **MATCH — Low Risk.**

Termination for Cause

Vendor: 30-day cure period for material breach.

Standard: Defined cure-based termination rights.

Assessment: **MATCH — Low Risk.**

Auto Renewal

Vendor: One-year automatic renewal with 60-day notice.

Standard: Explicit renewal terms and adequate non-renewal window.

Assessment: **MATCH — Medium Operational Risk.**

Indemnification

Vendor: IP infringement plus gross negligence/willful misconduct claims.

Standard: Vendor IP indemnity and negotiated protection for defined critical risks.

Assessment: **PARTIAL MATCH — Medium Risk.**

Data Ownership

Vendor: Client owns Customer Data; no sale/targeted advertising; export and deletion provisions.

Standard: Client ownership and restricted processing.

Assessment: **MATCH — Low Risk.**

Confidentiality

Vendor: Mutual confidentiality with five-year survival and trade-secret protection.

Standard: Mutual confidentiality with appropriate survival.

Assessment: **MATCH — Low Risk.**

Exclusivity

Vendor: No exclusivity.

Standard: No exclusivity unless specifically approved.

Assessment: **MATCH — Low Risk.**

Freight Terms

Vendor: Not applicable to digital SaaS.

Standard: N/A for digital-only subscription.

Assessment: **MATCH — No Risk.**

Intellectual Property

Vendor: Apex owns platform; Client owns data/materials; custom configurations licensed for internal use.

Standard: Clear ownership of pre-existing IP and deliverables.

Assessment: **PARTIAL MATCH — Medium Risk.** Custom deliverable ownership/license should be confirmed.

Governing Law

Vendor: Delaware law and Delaware courts.

Standard: Law/venue should align with company policy.

Assessment: **REVIEW REQUIRED.** Confirm Delaware venue is acceptable to the Client.

23. OVERALL RISK ASSESSMENT

Overall Rating: MEDIUM RISK / NEGOTIABLE

The sample agreement is commercially reasonable in several areas, including the 5% price-increase cap, 99.9% SLA, termination-for-convenience right, data ownership, and insurance requirements. The main negotiation priority is the limitation of liability for data-security/privacy claims. Secondary review items are additional-user charges, warranty remedies, custom IP treatment, and the 60-day auto-renewal notice requirement.

24. APPROVAL CHECKLIST

- Confirm \$120,000 annual commitment and user-overage pricing
- Confirm 60-day renewal notice is calendared
- Negotiate higher cap for data-security/privacy claims
- Confirm cyber insurance coverage and certificate requirements
- Confirm SLA service-credit calculation and chronic-failure termination
- Confirm 60-day data deletion and backup deletion process
- Confirm ownership/license for custom reports and configurations
- Confirm Delaware governing law/venue is acceptable
- Obtain Legal / Procurement / Security approval